WAVERLEY GATEWAY GUIDE

Connecting International Capital

BENIN

Africa

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Cotonou and the Port of Cotonou	Economic capital and West Africa's gateway port, handling about 90% of Benin's external trade and a record 14.7 million tonnes in 2025, up 52% on 2024	Port logistics, transit trade, financial services, real estate
Glo-Djigbé Industrial Zone (GDIZ)	1,640-hectare special economic zone 45 km from the port, with $1.4 billion committed in its first phase, more than 40 investors and 20 operating plants	Textiles and garments, cotton, cashew, soy and shea processing, pharmaceuticals, electronics assembly
Porto-Novo	Official capital and seat of the National Assembly, close to the Nigerian border and its large consumer market	Administration, cross-border trade, services
Sèmè-Podji	Coastal export terminal for the Niger–Benin oil pipeline, which handled about 4.3 million tonnes of crude in 2025	Oil logistics, storage, marine services
Grand Nokoué (Greater Cotonou)	Site of a planned agri-food hub highlighted by the IMF as a growth driver, serving the country's largest urban market	Agri-food logistics, cold chain, distribution
Cotton-growing centre and north	Heart of a cotton sector forecast at around 632,000 tonnes in 2025/26, placing Benin at the top of West African producers	Cotton, cashew, soy, shea, agricultural inputs and services
Cotonou–Ouagadougou–Niamey corridor	Transit route serving landlocked Sahelian neighbours, with Burkina Faso now taking 16% of port traffic and customs clearance times down about 40% since 2021	Trucking, warehousing, fuel distribution, trade finance

INVESTOR ENTRY ROUTES

- APIEx (Agence de Promotion des Investissements et des Exportations), operating under the Presidency and running the "Choose Benin" brand, attracts, negotiates and tracks FDI projects and supports exporters
- Investment Code providing tax reductions and duty relief on inputs and equipment, complemented by a public-private partnership law and a single digital business-registration window
- Glo-Djigbé Industrial Zone, developed by ARISE IIP in partnership with the State and promoted through SIPI-Bénin, offering serviced plots and export-oriented processing incentives
- West African CFA franc (XOF) issued by the BCEAO and pegged to the euro, giving exchange-rate stability; the regional policy rate stands at 3.00%

- Public-private partnership and concession opportunities in port, logistics, energy and water, alongside regional debt markets via UMOA-Titres and the BRVM
- Benin Investment Forum and the Choose Benin programme at international events such as the Africa CEO Forum, providing direct access to ministers and project sponsors

MARKET-ENTRY OBSERVATION

Benin in October 2026 is one of Africa's fastest-growing and most disciplined economies. The World Bank estimates growth at 8.1% in 2025 and forecasts 7.8% in 2026, against 5.6% for WAEMU as a whole, while inflation was just 1.1% in 2025. The fiscal deficit has been held within the 3% of GDP WAEMU norm since 2024, and Benin completed its IMF EFF/ECF and Resilience and Sustainability Facility programmes in February 2026, with the Fund confirming a moderate risk of debt distress. FDI inflows rose to $482 million in 2025 from $396 million in 2024 (UNCTAD), driven by the Glo-Djigbé Industrial Zone, which now employs more than 25,000 people, and a modernised Port of Cotonou. Ratings of BB- (S&P), B1 (Moody's) and B+ (Fitch), and a $500 million 16-year Eurobond in January 2025, reflect international market confidence.

Benin's principal structural challenge is security in its far north, where armed groups active in the Sahel have attacked army positions along the Burkina Faso and Niger borders, including an April 2025 attack in which 54 soldiers died. The State has responded with Operation Mirador, which has deployed about 3,000 troops to forward bases since 2022, a 5,000-strong recruitment drive and partner-funded equipment, alongside a $33 million World Bank social-cohesion programme for northern communities. The main commercial centres, the port and the GDIZ lie in the south, far from affected areas. Political continuity has also been demonstrated: an attempted coup on 7 December 2025 was contained within hours with ECOWAS and Nigerian support, and President Romuald Wadagni, finance minister for a decade, took office on 24 May 2026, giving investors a clear signal of policy continuity.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Security in the northern border regions	Armed groups have attacked military positions near the Burkina Faso and Niger borders, with 2025 the deadliest year for the army; the south, where most commercial activity is concentrated, is not affected	Locate operations in the southern economic belt, apply standard travel-risk protocols for the north, and align with the reinforced Operation Mirador presence and partner-backed development programmes
Regional political environment	A December 2025 coup attempt was contained within hours with ECOWAS support, and the 2026 elections returned a government committed to policy continuity	Engage early with the new administration, which has deep familiarity with investor priorities, and include political-risk insurance for large projects
Niger border closure and transit volumes	Conventional transit to Niger has declined since Niger closed its border in July 2023, although Nigerien crude continues to flow through Sèmè-Podji	Burkina Faso and Nigeria have become leading transit markets, and port traffic still reached a record in 2025; any reopening would add further upside
Export concentration in cotton and cashew	Cotton accounted for 47% of exports in 2024 and cashew for about 16%, leaving earnings sensitive to commodity prices	Local processing at GDIZ is moving exports up the value chain into yarn, garments and processed cashew, creating opportunities for manufacturers and buyers
Public debt and debt service	Public debt is around 57% of GDP after an IMF reclassification of state-company loans, with debt service at about 32% of revenue in 2026, expected to fall to 23% in 2027	Debt is mostly concessional, the deficit is within the WAEMU norm and liability-management operations have extended maturities
Informality and skills	Around 86% of firms operate informally, limiting the pool of formal suppliers and skilled labour	Use the World Bank-backed Azôli programme, which trains young people for GDIZ employers, and formal supplier-development partnerships
Dependence on port revenue	The port generates 45–50% of tax revenue, so trade slowdowns affect public finances	Port expansion, an €80 million AfDB financing package and new transit markets are broadening the revenue base and

Issue	Potential Impact	Possible Mitigation
		creating logistics opportunities

INVESTOR RISK NOTE

Benin's risk profile is that of a well-managed, reform-driven economy with strong growth, low inflation and the stability of the euro-pegged CFA franc. Fiscal discipline has been consistent, the IMF programmes were completed successfully in February 2026, and sovereign ratings are in the BB-/B+ range. Security in the far north is the principal consideration: attacks by Sahel-based armed groups have targeted the military near the Burkina Faso and Niger borders, and the government has responded with a substantial troop deployment, expanded recruitment and development programmes. The commercial heartland around Cotonou, the port and the GDIZ is in the south. The swift containment of the December 2025 coup attempt with ECOWAS support and the orderly transfer of power to President Wadagni in May 2026 underline institutional continuity. Investors should apply standard security protocols for northern travel and consider political-risk cover for large projects, while recognising that Benin offers one of the most predictable policy environments in the region.

MARKET ACCESS

Benin is a member of the West African Economic and Monetary Union (WAEMU), sharing the CFA franc and the BCEAO, and of the Economic Community of West African States (ECOWAS), giving access to a regional market of more than 420 million consumers, including neighbouring Nigeria. It is a WTO member and a signatory of the African Continental Free Trade Area. The Port of Cotonou serves as a gateway for landlocked Sahelian states, with Burkina Faso now among its leading transit markets and Nigeria the second-largest, while the Niger–Benin pipeline exports Nigerien crude via Sèmè-Podji. Benin's main exports, cotton and cashew, go largely to Asian buyers such as Bangladesh, India, Vietnam and China, and the GDIZ is adding garments and processed agricultural products for international markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic (President Romuald Wadagni)	Sets economic strategy; the President, in office since May 2026, served as finance minister from 2016 and led the reform programme	Primary reference point for national priorities and large strategic projects
APIEx (Investment and Export Promotion Agency)	National investment promotion agency operating under the Presidency and running the Choose Benin brand	Standard first point of contact for market entry, incentives and project facilitation
Ministry of Economy and Finance (Minister Aristide Médenou)	Leads fiscal policy, debt management and relations with the IMF, World Bank and investors	Key counterpart for PPPs, tax matters and public procurement
BCEAO (Central Bank of West African States)	Regional central bank for WAEMU; sets the policy rate (3.00% since March 2026) and administers exchange regulation	Relevant for currency, repatriation and banking-sector matters
SIPI-Bénin and ARISE IIP (GDIZ)	Public-private partners that develop and operate the Glo-Djigbé Industrial Zone	Essential counterpart for manufacturing and agro-processing investment
Port Autonome de Cotonou	Operates the country's main trade gateway, modernised through a strategic partnership with the Port of Antwerp	Key partner for logistics, terminal and transit investment
SBEE and SONEB (state electricity and water utilities)	State companies whose financial statements are now being published as part of transparency reforms	Relevant counterparts for energy, water and infrastructure PPPs

CURRENT INTERNATIONAL BUSINESS CHANNELS

APIEx's Choose Benin programme and the annual Benin Investment Forum in Cotonou are the main platforms for meeting government and project sponsors, and Benin has appeared as an official "Invest In" partner at the Africa CEO Forum. French business support is extensive, with Business France, Team France Export, Bpifrance and AFD active alongside 63 French subsidiaries operating in the country. The World Bank, whose Managing Director of Operations visited the GDIZ in July 2026, the IMF, and the African Development Bank, which is co-financing the Port of Cotonou expansion, maintain active programmes. ARISE IIP and established GDIZ tenants are valuable sources of practical intelligence on operating conditions, labour and export logistics.

INVESTOR PROFILE BEST SUITED

Benin suits investors seeking exposure to a fast-growing, fiscally disciplined economy with currency stability and a gateway role in West Africa: manufacturers in textiles, garments and agro-processing using the GDIZ to process local cotton, cashew, soy and shea for export; logistics, port and trade-finance investors positioned on the Cotonou transit corridors; infrastructure and utility investors pursuing PPPs in energy, water and urban development; and agribusiness investors building on Benin's leading position in West African cotton. Investors with operations in the north should build standard security planning into their projects, while those concentrated in the south benefit from one of the region's most predictable operating environments.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage APIEx and the Choose Benin programme
Open dialogue with the national investment promotion agency to confirm Investment Code incentives, PPP pipelines and facilitation for your sector.

STEP 2: Assess the Glo-Djigbé Industrial Zone for manufacturing and processing
Meet ARISE IIP and SIPI-Bénin to review plot availability, incentives, utilities and the Azôli workforce-training pipeline.

STEP 3: Map transit and logistics opportunities around the Port of Cotonou
Evaluate demand from Burkina Faso and Nigeria and the port's expansion programme, keeping Niger border developments under review as potential upside.

STEP 4: Build security and political-risk planning into project design
Use specialist security advice for any northern activity and consider political-risk insurance and DFI co-financing for larger investments.

STEP 5: Connect with the new administration and development partners
Use the Benin Investment Forum, the Ministry of Economy and Finance and World Bank and AfDB programmes to align with the Wadagni government's priorities.